

India-UK agreement and the trade push

After several rounds of **negotiations**, which involved discussions over **contentious** issues such as the carbon tax, India and the UK have finalised the **long-awaited free trade agreement**. This is a welcome trade push. The **agreement**, which has been **concluded against the backdrop of** the **tariff war unleashed** by US President Donald Trump, **is arguably** the most comprehensive deal that Delhi has entered into with a major developed country. It comes after trade deals with Australia and the UAE, which **reflect** the shift in Delhi's approach towards **embracing** freer trade and integrating more deeply with global supply chains.

The UK is a significant trading partner for India. **Bilateral trade** between the two countries **is** about \$60 billion, and **is projected** to double by 2030. The trade deal will **eliminate** tariffs **levied** by the UK on about 99 per cent of products, including labour intensive sectors such as textiles, footwear and manufacturing industries like electrical machinery and automobile components. The agreement also **addresses** some issues in **labour mobility** which have been **pain points** for India. Skilled Indian **workers** in the UK and their **employers will** now be **exempt** from paying social security contributions for three years. **Alongside**, India has got "**commitments** on digitally delivered services for Indian services suppliers". On its part, Delhi has lowered tariffs on whiskey and gin to 75 per cent, and further to 40 per cent over 10 years. It has also reduced automotive tariffs to 10 per cent under a quota. Other **areas** where **duties** have been lowered **are** cosmetics, aerospace products, medical devices.

This trade deal with the UK has been finalised at a time when India is also holding discussions on similar deals with countries/regions such as the US, the EU, Chile and Peru. As such, it not only sends a signal to these countries, but also provides a **template** for other agreements. There are already some indications that **deals with** the US and EU could **fructify in the near term**. The government must aim to **conclude** these agreements **at the earliest**. Alongside, it must **take forward** the domestic reform agenda, and address the **long-standing structural impediments** to growth. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

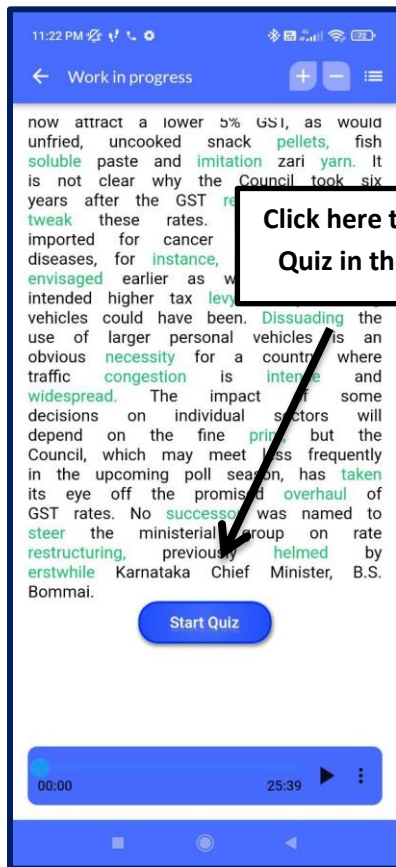
1. **Negotiation** (noun) – discussion, dialogue, bargaining, talks, deliberation वार्ता / समझौता
2. **Contentious** (adjective) – controversial, disputed, debatable, argumentative, divisive विवादास्पद
3. **Long-awaited** (adjective) – overdue, expected, anticipated, awaited, delayed लंबे समय से प्रतीक्षित
4. **Free trade agreement** (noun) – a treaty between two or more countries that reduces or eliminates trade barriers, such as tariffs and quotas, between them मुक्त व्यापार समझौता
5. **Conclude** (verb) – finalize, complete, close, agree, wrap up समाप्त करना / अंतिम रूप देना
6. **Against the backdrop of** (phrase) – in the context of, amid, in light of, considering, during की पृष्ठभूमि में
7. **Tariff** (noun) – tax, duty, levy, excise, customs charge शुल्क / कर
8. **Unleash** (verb) – release, trigger, initiate, set off, let loose शुरू करना / जारी करना
9. **Arguably** (adverb) – possibly, conceivably, debatably, maybe, it could be said तर्कसंगत रूप से / संभवतः
10. **Reflect** (verb) – show, indicate, demonstrate, mirror, represent दर्शाना
11. **Embrace** (verb) – accept, adopt, welcome, support, espouse अपनाना
12. **Bilateral** (adjective) – mutual, two-sided, reciprocal, joint, dual द्विपक्षीय
13. **Project** (verb) – estimate, forecast, predict, anticipate, calculate अनुमान लगाना
14. **Eliminate** (verb) – remove, abolish, end, erase, get rid of हटाना / समाप्त करना
15. **Levy** (verb) – impose, charge, collect, demand, assess लगाना (कर आदि)
16. **Address** (verb) – deal with, handle, tackle, resolve, focus on समाधान करना
17. **Labour mobility** (noun) – the ease with which individuals can change jobs (occupational mobility) or move to different locations to work (geographical mobility) श्रमिक गतिशीलता
18. **Pain point** (noun) – problem area, issue, challenge, weak spot, trouble spot समस्या क्षेत्र
19. **Employer** (noun) – boss, manager, company, business, hirer नियोक्ता
20. **Exempt** (verb) – exclude, release, free, relieve, spare छूट देना

21. **Alongside** (adverb) – together with, in addition to, beside, as well as, simultaneously के साथ-साथ
22. **Commitment** (noun) – promise, obligation, assurance, pledge, undertaking प्रतिबद्धता
23. **Duty** (noun) – tax, tariff, charge, levy, excise शुल्क / कर
24. **Template** (noun) – model, framework, blueprint, pattern, guide प्रारूप / नमूना
25. **Deal with** (phrasal verb) – handle, manage, tackle, address, cope with निपटना
26. **Fructify** (verb) – materialize, bear fruit, succeed, culminate, realize साकार होना
27. **In the near term** (phrase) – soon, shortly, in the short run, in the immediate future, in the coming time निकट भविष्य में
28. **Conclude** (verb) – end, complete, finalize, close, wrap up निष्कर्ष निकालना
29. **At the earliest** (phrase) – as soon as possible, promptly, without delay, quickly, immediately जल्द से जल्द
30. **Take forward** (phrasal verb) – advance, continue, push ahead, proceed with, develop आगे बढ़ाना
31. **Long-standing** (adjective) – persistent, continuing, age-old, enduring, chronic दीर्घकालीन / पुराना
32. **Impediment** (noun) – obstacle, barrier, hindrance, obstruction, block बाधा / रुकावट

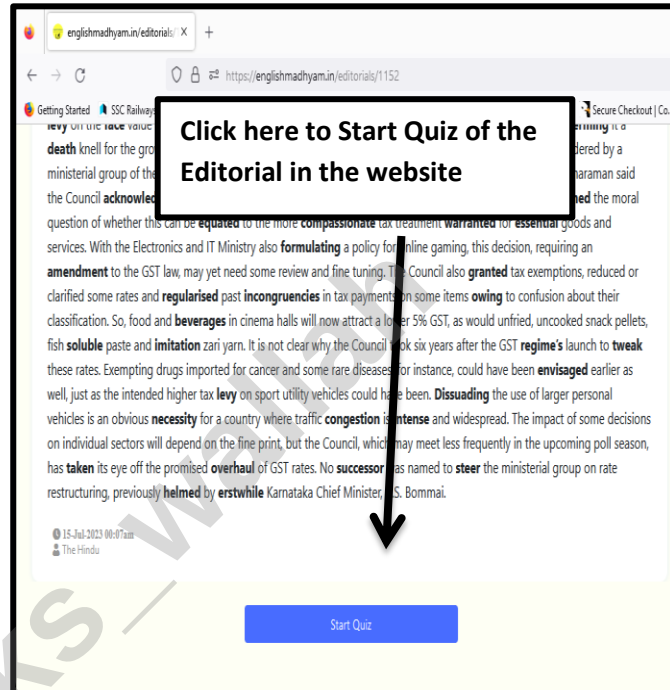
Summary of the Editorial

1. India and the UK have finalized a long-anticipated free trade agreement (FTA) after multiple negotiation rounds.
2. The deal covers contentious issues, including the carbon tax, and is a major trade milestone.
3. This FTA is considered India's most comprehensive trade pact with a major developed economy.
4. It follows similar trade agreements India signed with Australia and the UAE, showing a strategic shift toward freer trade.
5. The UK is an important trading partner, with bilateral trade worth around \$60 billion, projected to double by 2030.
6. Under the agreement, the UK will remove tariffs on about 99% of Indian products, benefiting labour-intensive sectors.
7. Key sectors to gain include textiles, footwear, electrical machinery, and automobile components.
8. Labour mobility issues have been partly resolved: skilled Indian workers in the UK will be exempt from social security payments for 3 years.
9. India has secured access for digitally delivered services, boosting its services sector exports.
10. In return, India will reduce tariffs on UK whiskey and gin, initially to 75%, then to 40% over 10 years.
11. Automotive tariffs will be cut to 10% under a quota system, encouraging UK exports.
12. Other reduced-tariff areas include cosmetics, aerospace products, and medical devices.
13. The deal strengthens India's case in ongoing trade talks with the US, EU, Chile, and Peru.
14. It serves as a model/template for future trade agreements with other developed countries.
15. The government must accelerate domestic reforms and resolve structural barriers to fully leverage such global trade opportunities.

Practice Exercise: Banking Pattern Based



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